



Market Briefs **Pro**

Read less news

Good morning, Pro Briefers!

Something is brewing on Wall Street.

JPMorgan CEO Jamie Dimon warned in October 2025 that "You have a lot of assets out there which look like they're entering bubble territory," adding that a substantial correction could hit within two years.

Goldman Sachs strategists say today's AI boom mirrors the late-1990s dot-com bubble.

Goldman's CEO David Solomon and Morgan Stanley's co-President both warned markets could fall 10-20% in the next two years.

Even Federal Reserve Chair Jerome Powell called the stock market "fairly highly valued."

In short - finance's biggest leaders are warning that stock prices might not make sense right now.

NASDAQ premium to S&P 500 during dotcom bubble



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Data via BBC

But not everyone agrees - in fact, our analysts sat down with Charles Urquhart, the former VP of Fixed Income Sales & Strategy at Fidelity Investments, in an exclusive interview.

"I'm not seeing it. I have a number of different indicators that I look at in terms of the overall credit market in the world. With credit spreads being the single largest, single most important indicator. That's green for me right now," Urquhart told our analysts.

Between November 12 and November 18, 2025, the Dow and Nasdaq both fell over 4%.

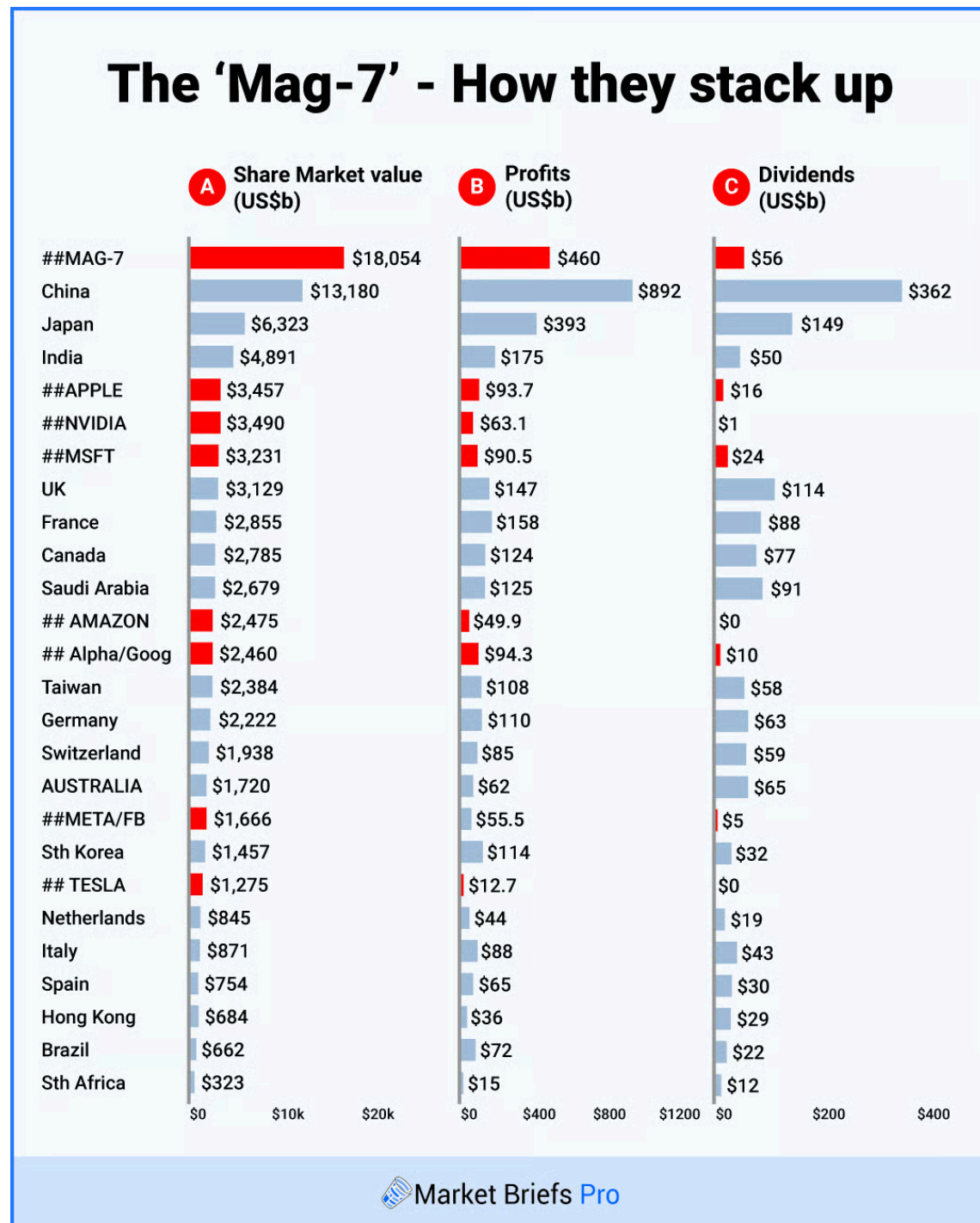
This isn't a crash - but jitters are building that stocks could fall further.

Why? AI valuations have some investors worried.

- Gartner estimates AI investment could reach \$1.5 trillion by year-end.

Combined with a slowing job market, tariffs, and underlying U.S. economic decline, uncertainty is rising.

No one can predict a crash with certainty. But you don't have to choose between protection and performance if markets do fall.



This is where we've identified a Wall Street Shift:

As equities reach historically high valuations and market leaders warn of corrections, bonds - especially U.S. Treasuries, TIPS, and emerging market debt - may offer investors protection and potential outperformance during a downturn.

Let's break down why investors may want to consider bonds - starting with what usually happens when stocks decline.

ANALYST REPORT

Strategy we're exploring:

- Core defense: Long-term Treasuries & TIPS
- Growth play: Emerging market sovereign bonds
- Stability: Investment-grade corporate bonds

Bond ETFs to consider:

- TLT, TIP (Treasuries/TIPS)
- EMB, EMLC (Emerging markets)
- LQD, VCLT (Corporate bonds)

THE SHIFT

The Case For Bonds

The S&P 500 normally trades at a price-to-earnings ratio between 12 and 15.

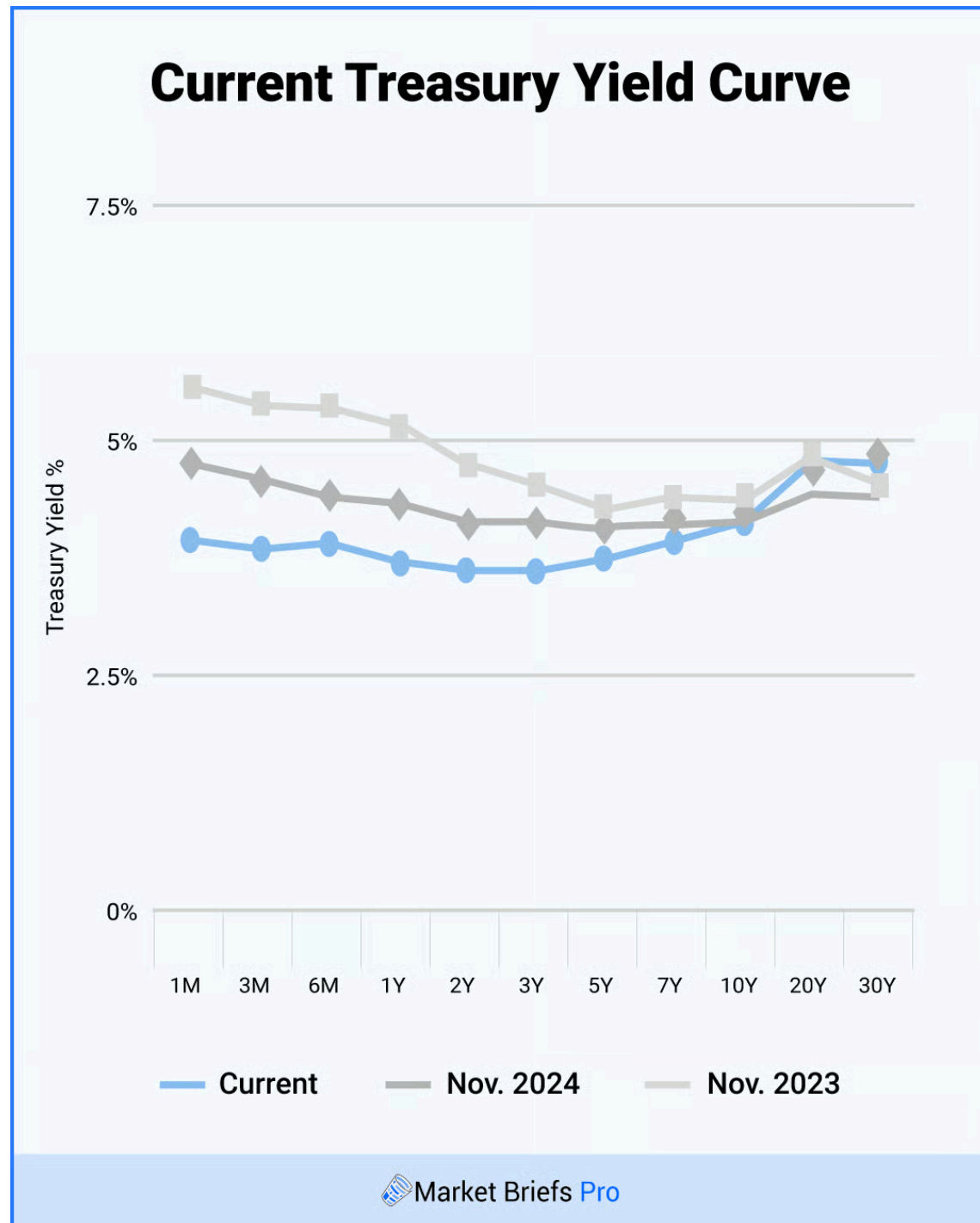
Right now? It's above 30 - meaning investors are paying more than double the historical norm for every dollar of corporate profit.

History shows no bull run lasts forever. While we don't know when markets will crash, we know that during a crash, investors usually sell stocks to buy safer investments.

Enter: Bonds.

When bond demand rises, prices go up. Bondholders make money while stock investors lose.

Bonds are like IOUs. You lend money to a government or company, and they pay you back with interest.



Data via [Investing.com](https://www.investing.com)

Look at the two most recent crashes:

- **2008 Financial Crisis:** The S&P 500 fell 37%. Investors holding 10-year Treasury bonds made money.

- **2020 COVID Crash:** Stocks plunged 20% in four months. Treasury bonds rallied as investors fled to safety.

But here's what makes this strategy different from traditional crash protection: The bonds we're highlighting yield between 4-6% annually.

That means even if the crash doesn't come for years, you're still earning competitive returns - not just sitting in cash waiting.

"I think directionally people feel that interest rates will be coming down. So I think to get some exposure into treasuries right now makes some sense," Charles Urquhart.

Next, we'll discuss specific bonds that could potentially protect investors and exactly how much to allocate to build a complete defensive portfolio.

TREASURIES

The Foundation

U.S. Treasury bonds are considered one of the safest investments in the world.

Why? Because they're backed by the U.S. government. The government can print money to pay you back, so the risk of not getting paid is extremely low.

(We'll discuss Treasury Inflation-Protected Securities (TIPS) later that help with inflation caused by an increase in the monetary supply.)

As of November 13th, Treasury bond yields are:

- 2-year Treasury: about 3.57%
- 10-year Treasury: about 4.07%
- 30-year Treasury: about 4.66%

This is the highest bond yields have been in roughly 20 years.

10-Year Treasury Yield

1 Year Price

1.8250
(-0.02%)



 Market Briefs Pro

Data via CNBC

What does that mean? If you buy a 10-year Treasury bond, the government will pay you about 4% interest every year for 10 years, then give you all your money back.

But here's where things get interesting: If stocks crash, the Federal Reserve typically cuts interest rates to help the economy recover.

When interest rates fall, older bonds that pay higher rates become more valuable. People will pay more to own a bond paying 4% when new bonds only pay 2%.

- New bonds may pay less in interest because they have an inverse relationship with interest rates - when interest rates fall, bond prices rise, and vice versa.

So, investors can make a profit by buying these bonds now while interest rates are high and selling them later during a crash when rates are low again.

Why does it matter? During the 2008 crash, falling interest rates pushed long-term Treasury bond prices up by double digits - even while stocks were crashing.



We believe investors can benefit most from this shift by buying 2-year or 10-year Treasury bonds directly through their brokerage.

Why directly? When you own the actual bond, you lock in that yield and aren't exposed to the daily price swings of an ETF. You know exactly what you'll earn.

ETFs like the iShares 20+ Year Treasury Bond ETF (TLT) are an option - they track the performance of the ICE U.S. Treasury 20+ Year Bond Index.

But they're not our recommendation.

That's because with an ETF, you don't actually own the bonds - you own an equity security and it will act like an equity security during a market crash.

You own shares of a fund that owns bonds. That means you're still in an equity security with daily price volatility, management fees, and no guaranteed maturity date.

TIPS

Inflation Protection

Treasury bonds can help investors gain steady income during times of market volatility.

But there's a problem: Those traditional Treasury bonds do not adjust for inflation - so the interest you are being paid stays the same, and may be worth less than the overall inflation rate.

If we see a market downturn, and the Fed lowers interest rates, higher inflation typically follows.

- Inflation hit a 30-year high of 9.1% in 2022 after the Fed lowered rates to near 0% in 2020.

Plus, the U.S. dollar has been weakening. In the first half of 2025, the dollar fell by more than 10% according to the dollar index - its worst performance in over 50 years.

The bottom line: Your money buys less stuff.

Inflation never truly goes away either - it has remained above 2.5% since March, 2021.



Data *via* CNBC

What can investors do? TIPS automatically adjust for inflation.

So if prices go up 3%, the value of your TIPS goes up 3%, too.

TIPS protect you from rising inflation.

As of November 2025, 10-year TIPS are yielding about 1.8% **above inflation**.

So where's the opportunity? If a stock market crash leads to economic problems, we could see both falling interest rates and inflation concerns.

Charles agreed that if we do see inflation rise, TIPS may be a play for investors:

"So they're a wonderful asset that I think makes sense really in any long-term fixed income sleeve, right? Because over any long-term period of time, you're going to have periods of inflation."

Just like with Treasury bonds, we recommend purchasing TIPS directly.

The iShares TIPS Bond ETF (TIP) exists, but again - you're trading the certainty of owning the actual bond for the convenience of an ETF with fees and daily price volatility.

If you own TIPS directly, you know exactly what real return you'll earn above inflation. That can be valuable in uncertain times.

EMERGING MARKETS

The High-Yield Opportunity

Now let's look beyond U.S. bonds for higher-yield investment opportunities.

In 2025, we've featured several emerging market economies in our reports, namely our BRICS and Africa reports.

Those reports covered countries like Brazil, South Africa, and Turkey - showcasing several ETFs that investors can use to gain exposure to their rapid and promising growth.

However, these countries also issue sovereign debt backed by their governments, which may present a new way for investors to benefit if markets do fall in the near future.

The thing is: these bonds typically pay much higher interest rates than U.S. Treasuries.

And right now, some emerging market sovereign currency bonds are yielding around 8%.

Why the Higher Yield? *Mispriced Risk.*

Traditional credit rating agencies like Moody's and S&P assign lower ratings to emerging market bonds, citing smaller economies and exposure to political changes or currency swings.

But we believe these ratings are inaccurate and these bonds have higher potential than what the market is pricing in.

Here's why: Many of these emerging markets are growing faster than the U.S. right now, and attracting record foreign investment.

Their economies are expanding and their governments are increasingly stable.

Yet they're still being rated - and priced - like it's the 1990s.

That gap between perception and reality is the opportunity.

If the U.S. stock market crashes but these economies keep growing, their bonds could hold up better than U.S. stocks while paying you 5-6% annually.

Emerging market bonds come in two types:

USD-Denominated Bonds: No currency risk. You earn 8% in dollars. These bonds are the opportunity we are referring to.

Local Currency Bonds: Denominated in the country's currency. You earn a high yield plus potential upside if the dollar weakens.

Here's why that matters: When the Fed cuts rates during a crash, the dollar typically falls. That makes local currency bonds more valuable when converted back.

You earn 5-6% interest while stocks fall and gain from dollar weakness.

As of 2025, it's difficult for retail investors to gain access to these emerging market bonds directly, as regulations and requirements are very strict around them.



Data [via](#) Yahoo! Finance

For this asset class specifically, ETFs are the practical option:

- **iShares J.P. Morgan USD Emerging Markets Bond ETF (EMB):**
Holds USD-denominated sovereign debt from emerging markets.

- **VanEck J.P. Morgan EM Local Currency Bond ETF (EMLC):** Holds bonds denominated in local currencies.

We recommend splitting your emerging market allocation between both types to balance yield, currency exposure, and diversification.

CORPORATE BONDS

The Tactical Addition

U.S. Treasury bonds, TIPS, and foreign emerging market bonds all have one thing in common: You're loaning a government money and that government pays you back in interest.

But there's another option: Corporate bonds.

These generally work in the same way as other bonds, except you're loaning companies money in exchange for interest instead of governments.

- Businesses use this loaned money to fund operations.

Investment-grade corporate bonds are bonds from big, stable companies with strong credit ratings. Think Apple, Johnson & Johnson, or Berkshire Hathaway.

These bonds have a current yield around 4.8% - higher than Treasury bonds but lower than emerging market bonds.

They offer a middle ground between safety and yield.

If the stock market keeps going up and the crash is delayed, these companies will likely stay profitable and their bonds will hold their value well.

If stocks crash, investment-grade bonds from strong companies typically fall less than stocks and recover faster than "junk bonds" from riskier companies.

Global Investment Credit Agency Ratings

Agency	Investment Grade Rating	Lowest Investment Grade Rating
Standard & Poor's (S&P)	AAA, AA, A, BBB	BBB-
Moody's	Aaa, Aa, A, Baa	Baa3
Fitch Ratings	AAA, AA, A, BBB	BBB-

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Data via Wall Street Prep

Investors may want to consider:

Apple (ISIN US037833EU05): Apple's stock has struggled recently due to lack of AI innovation. But even if AI stocks crash, Apple still sells millions of iPhones, iPads, and MacBooks.

The company has massive cash reserves and a stellar credit rating - As of November 2025, its rating with Moody's is Aaa and its S&P rating is AA+, one below its highest level.

Johnson & Johnson (ISIN US478160BJ28): JNJ makes medical devices, pharmaceuticals, and consumer health products. These businesses aren't tied to tech hype and tend to be stable even during recessions.

People still need bandages and medicine when stocks are falling. Both Moody's and S&P Global have given JNJ their highest credit rating as of November 2025.

Berkshire Hathaway (ISIN US084670BK32): Warren Buffett's Berkshire Hathaway - it owns a lot of essential service companies that will remain important, even in an economic downturn.

Its bond ratings are solid - Aaa from Moody's and A from S&P, as of November 2025, which indicates a low risk investment.

Why does it matter? These companies should be able to keep paying their bond interest even if their stock prices fall.

We recommend buying corporate bonds directly.

ETFs like the iShares iBoxx \$ Investment Grade Corporate Bond ETF (LQD) or Vanguard Long-Term Corporate Bond ETF (VCLT) are an option.

But we do not recommend the ETF strategy for corporate bonds.

Both of these ETFs have underperformed the stock market recently, even when you include the interest they pay - plus ETFs won't provide the bond protection since they are equity securities.

In addition, you're adding management fees and equity market volatility without the benefits of direct bond ownership.

BREAKDOWN

The Strategy

Here's a full example of how this strategy may look in your portfolio:

- **60% TIPS and U.S. Treasury Bonds**
- **25% Emerging Market Bonds**

- **10% Investment-Grade Corporate Bonds**
- **5% in cash**

With this strategy, it would be reasonable to expect a total yield return of 4.5-5.5% annually.

Even if the crash doesn't come for years, you're earning a profit, not sacrificing returns for protection.

Why the 5% in cash? So you have money set aside to buy equities that go on sale in a downturn.

RISKS

What Could Go Wrong?

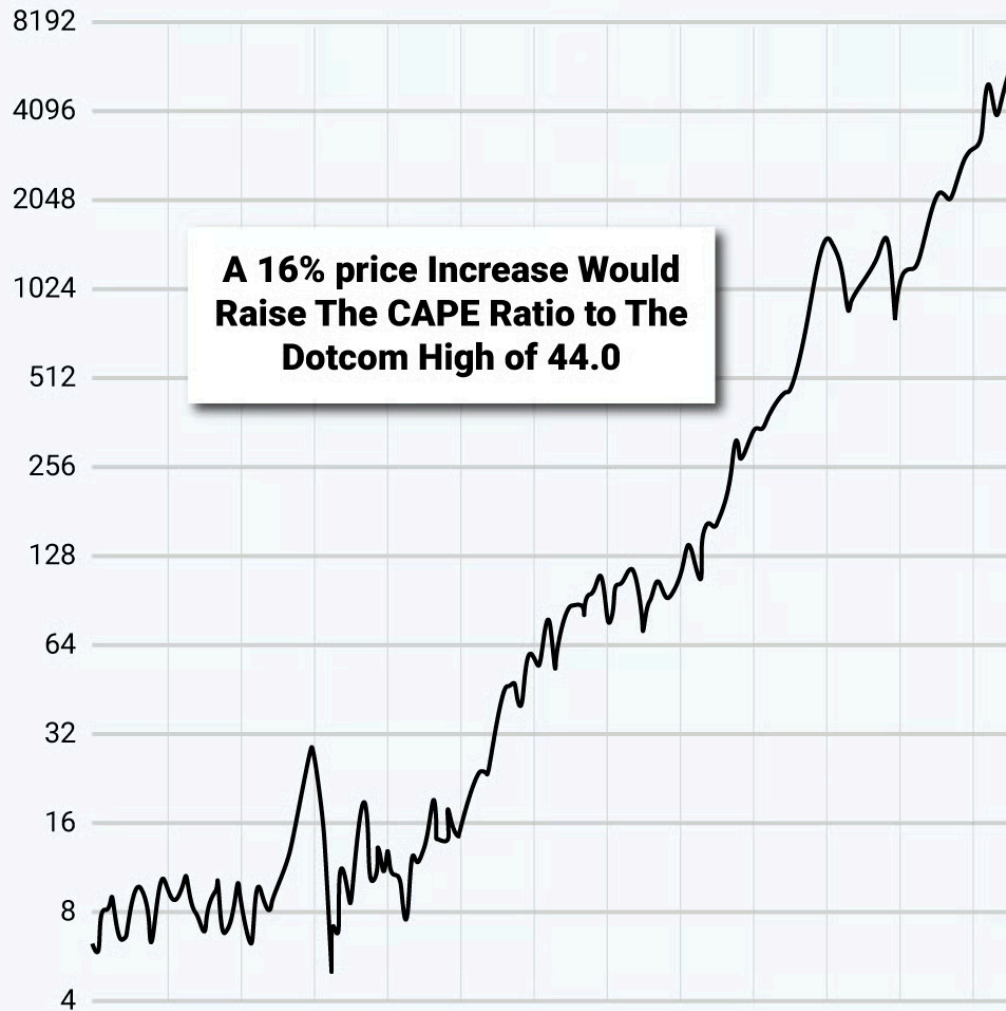
The biggest risk? Stocks could keep climbing for years, and this defensive strategy would underperform equity gains.

If that happens, you'd still earn 4.5-5.5% annually - but you'd miss bigger stock market returns.

Also, emerging market bonds carry currency risk if the dollar strengthens unexpectedly, and political instability could impact individual countries.

S&P 500

1900 - 2025



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Data via Elite Trader

- Corporate bonds could fall if recession fears trigger downgrades, and TIPS only outperform if inflation actually rises.

Lastly, government stimulus or delayed Fed rate cuts could extend the bull market, causing bonds to underperform stocks longer than expected.

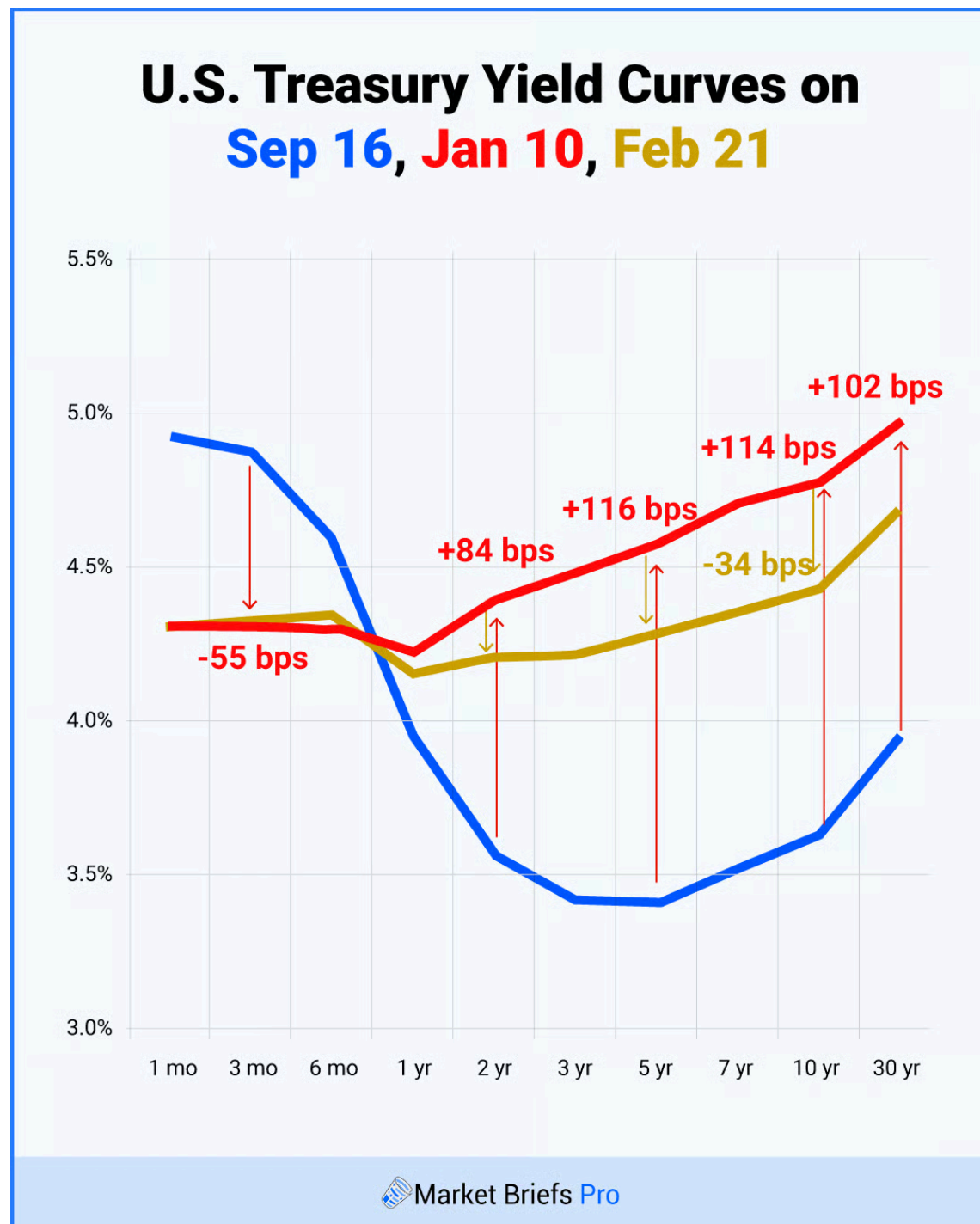
REVIEW

Profiting From Uncertainty

Wall Street's biggest leaders are warning of a potential correction.

Some assets are trading beyond their fundamentals, which could trigger the bubble to burst in the near future.

You'll want to create a defensive portfolio as a result - but one that also helps you to profit at the same time.



Data via U.S. Treasury

This is defensive positioning that doesn't drag down returns.

And Charles believes that the bond market can be summed up in one word: Math.

"Know what you own. Bonds are about math. If you own a portfolio in that 5 to 10 year segment and you have positive real net of inflation returns, then what you have done is to the best of your ability, you have immunized yourself against interest rate risk as best as you possibly could within your fixed income sleeve."

Investors may want to consider building this bond strategy now - before a market selloff happens.

That way you're earning when and if a crash comes, rather than watching on the sidelines.



- Briefs Pro Team

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